



INSTRUCTIONAL AREA
Economics

PRINCIPLES OF HOSPITALITY AND TOURISM EVENT

PARTICIPANT INSTRUCTIONS

(quoted directly from DECA, INC)

- “The event will be presented to you through your reading of the 21st Century Skills, Performance Indicators and Case Study Situation. You will have up to 10 minutes to review this information and prepare your presentation. You may make notes to use during your presentation.”
- “You will have up to 10 minutes to make your presentation to the judge (you may have more than one judge).”
- “You will be evaluated on how well you meet the performance indicators of this event.”
- “Turn in all of your notes and event materials when you have completed the event.”

21st CENTURY SKILLS

- Critical Thinking – Reason effectively and use systems thinking.
- Communication – Communicate clearly.
- Creativity and Innovation – Show evidence of creativity.

PERFORMANCE INDICATORS

1. Explain the concept of competition.
2. Identify product’s/service’s competitive advantage.
3. Identify factors affecting a business’s profit.
4. Explain factors affecting pricing decisions.

EVENT SITUATION

You are to assume the role of the FRONT DESK AGENT at THE LAKESIDE LODGE, a historic, family-owned bed and breakfast. The OWNER of the lodge (judge) is panicked regarding a new development in town and wants you to explain why the business can survive.

The LAKESIDE LODGE has operated for 50 years, offering a cozy, personalized experience with home-cooked breakfasts and guided hiking tours. It charges a premium price of \$200 per night. Recently, a large national chain, Sleep-Right Motel, broke ground on a new construction project just three miles down the road. The Sleep-Right Motel will offer standard rooms for only \$89 per night.

The owner (judge) is worried that THE LAKESIDE LODGE will lose all its customers to the cheaper competitor. The owner (judge) is considering slashing the lodge's room rates to \$99 to compete with the new motel.

The owner (judge) has asked you to meet to discuss the situation. The owner (judge) wants you to explain the concept of competition and why a lower price isn't the only factor customers consider. You must identify the lodge's competitive advantages and explain how lowering the price to \$99 could negatively impact the lodge's profit margins and brand image.

You will present your ideas to the owner (judge) in a role-play to take place in the lodge lobby. The owner (judge) will begin the role-play by greeting you and expressing concern about the new motel. After you have presented your explanation and have answered the owner's (judge's) questions, the owner (judge) will conclude the role-play by thanking you for your work.

Possible Judge's Questions:

1. If we don't lower our prices, how can we convince customers that our \$200 rate is worth it compared to the motel's \$89 rate?
2. The new motel offers a free continental breakfast. Should we switch to a continental breakfast to save money?

Rate the participant's ability to:		Novice	Developing	Proficient	Exemplary	Judged Score
PERFORMANCE INDICATORS						
1.	Explain the concept of competition.	0-1-2-3	4-5-6-7	8-9-10-11	12	
2.	Identify product's/service's competitive advantage.	0-1-2-3	4-5-6-7	8-9-10-11	12	
3.	Identify factors affecting a business's profit.	0-1-2-3	4-5-6-7	8-9-10-11	12	
4.	Explain factors affecting pricing decisions.	0-1-2-3	4-5-6-7	8-9-10-11	12	
SOLUTION						
5.	Unique Demonstrate original thinking, fresh perspectives and an insightful approach.	0-1-2	3-4-5	6-7	8	
6.	Practical Develop an actionable/viable solution in a real-world context.	0-1-2	3-4-5	6-7	8	
7.	Effective Develop a solution that achieves relevant outcomes.	0-1-2	3-4-5	6-7	8	
CAREER COMPETENCIES						
8.	Critical Thinking Think critically to understand and solve problems.	0-1	2-3	4-5	6	
9.	Communication Communicate clearly, effectively and with reason.	0-1	2-3	4-5	6	
10.	Decision Making Consider the impacts of decisions.	0-1	2-3	4-5	6	
OVERALL IMPRESSION						
11.	Demonstrate overall career readiness through professionalism, poise and confidence.	0-1-2-3	4-5-6	7-8-9	10	
TOTAL SCORE						